Quantity of underlying asset at a given price on or before a given

future date.

Presently, at NSE futures and options are traded on the Nifty, CNX IT, BANK

Nifty and 116 single stock

Element to consider during f&o are

1) Call option =buy the market or stock

2) Put option = sell the market or stock

3) Share lot size

4) Spot price

Example

let consider you think the price of SBI will go up at the month of march at present it is 2000and you think it will go to 2100 so you buy a lot of SBI of size 125 of spot prize of 2100 and the price of call is 25 rs then total margin you have to pay is

*125*20=2500 rs if all goes will and the price of SBI is 2124 above the spot price and your call price also goes up say 100 then the total profit will be*